

Alpha Transport Inc.

FINANCIAL STATEMENTS AND ACCOUNTANT'S COMPILATION REPORT

For the Nine Months Ended March 31, 2024





Alpha Transport Inc.
PO Box 16615
Salt Lake City, UT 84116

Management is responsible for the accompanying financial statements of Alpha Transport Inc. (a corporation), which comprise the balance sheet as of March 31, 2024, and the related statement of income and expense for the nine months then ended in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

Generally accepted accounting principles require that a provision for uncollectible accounts receivable be recorded. The Company has not recorded such a provision for uncollectible accounts receivable in the accompanying financial statements, and the effects of this departure from generally accepted accounting principles have not been determined.

Management has elected to omit substantially all of the disclosures and the statement of cash flows required by accounting principles generally accepted in the United States of America. If the omitted disclosures and the statement of cash flows were included in the financial statements, they might influence the user's conclusions about the Company's financial position, results of operations, and cash flows. Accordingly, the financial statements are not designed for those who are not informed about such matters.

Larson & Company PC

Salt Lake City, Utah
June 6, 2024

Alpha Transport Inc.
Balance Sheet
March 31, 2024

Assets

Current assets

Cash in bank	\$ 2,408,916
Petty cash	514
Short term investments at market	171,309
Holmes Murphy cash collateral	873,740
Accounts receivable	2,972,214
Inventory - tires	34,021
Inventory - truck parts	333,370
Inventory - fuel	66,149
Prepaid insurance	126,614
Clearing accounts	(218,423)
Total current assets	<u>6,768,423</u>

Property, plant and equipment

Trucks and trailers	29,211,157
Light trucks and construction equipment	297,989
Leasehold improvements	1,226,533
Office equipment	870,291
Shop equipment	474,521
Blue Sky/goodwill	3,025,000
Less accumulated depreciation	(18,232,142)
Net property, plant and equipment	<u>16,873,348</u>

Income tax receivable	1,048,298
Captive investment	<u>25,000</u>

Total assets	<u><u>\$ 24,715,069</u></u>
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Alpha Transport Inc.
Balance Sheet
March 31, 2024

Liabilities & Stockholders' Equity

Current liabilities

Accounts payable	\$ 1,403,881
Wages payable	398,669
Payroll and sales taxes payable	(65,712)
Vacation payable	190,345
Property tax payable	21,600
Deferred tax liability	2,603,914
Current portion treasury stock purchase	105,014
Current portion notes and contracts payable	2,756,162
Total current liabilities	<u>7,413,873</u>

Long term debt

Notes and contracts payable	5,826,015
Note payable-treasury stock purchase	191,518
Total long term debt	<u>6,017,533</u>

Total liabilities	13,431,406
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Stockholders' equity

Capital stock authorized 500,000 shares of \$1.00 par value; 18,439 shares issued and outstanding	18,439
Beginning retained earnings	11,241,276
Current retained earnings	23,948
Total stockholders' equity	<u>11,283,663</u>

Total liabilities & stockholders' equity	<u><u>\$ 24,715,069</u></u>
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Alpha Transport Inc.
Statement of Income and Expense
For the Three Months Ended March 31, 2024

Income	
Freight revenue and shop sales	\$ 31,984,299
Land and equipment rental	47,420
Unrealized gain (loss) on investment	(40,569)
Investment income realized	38,452
Life insurance cashout revenue	53,232
Total income	<u>32,082,834</u>
Cost of sales	<u>1,857,445</u>
Gross profit	30,225,388
Expenses	
Salaries, wages and related taxes	14,020,683
Operating expenses	10,654,668
Administrative expenses	2,753,750
Depreciation	2,400,695
Interest	362,984
Total expenses	<u>30,192,780</u>
Net income from operations	32,609
Other expense	
Income tax expense	<u>8,661</u>
Net income after tax	<u><u>\$ 23,948</u></u>